

duration of their bond holdings, creating a greater risk exposure to interest rate declines.

Meanwhile, if the duration of the bond portfolio is larger than the duration of the retirement liability, then rising rates will cause the bond value to drop by more than the retirement liability, leaving the retiree less able to fund retirement. Falling rates, in this case, would allow the value of bond holdings to rise by more than the cost of the liability, making it easier to fund retirement. We will return to this point again later, because it is the source of the controversy about selecting between individual bonds and bond funds for matching retirement expenses.